Absa Bank Kenya PLC

2022 Task Force on Climate-related Financial Disclosures (TCFD) Report

About this report

This is our first report on climate risk management aligned with the recommendations of the Financial Stability Board's Task Force on Climate-related Financial Disclosures (TCFD) and Central Bank of Kenya guidelines on Climate-related Risk management issued in 2021. We welcome your feedback through www.absabank.co.ke as we aim to consistently improve our climate-related disclosures.

Reporting period and scope

This report covers the period from 1 January 2022 to 31 December 2022. Any notable or material events after this date, and up until the approval of this report, are included and noted as such.

Assurance

We apply a risk-based assurance in line with the Absa Bank Kenya (ABK) Enterprise Risk Management Framework (ERMF). This is to ensure optimal coverage over the most material risks that ABK is exposed to and supports the integrity of information used in internal decision-making by management, the governing body and its committees, and the integrity of ABK's external reports. In line with their respective mandates, specific reports are reviewed and recommended to the Board for approval by:

- Audit and Risk Committee,
- Corporate Governance, Nominations and Remuneration Committee,
- Strategy Committee, and SteerCo
- Credit Committee.

The TCFD Report

This report represents an opportunity to provide stakeholders with material information and commentary on our response to climate change to enable them make an informed assessment of our management of this risk type during the year under review. As in all our reporting, we have set out to be open and transparent in this TCFD Report. It is our opinion that it presents a fair and balanced view, and we believe it demonstrates the way in which we are aiming to manage the longer-term environmental and climate change risks while seeking opportunities to create sustainable value and prosperity for our stakeholders.

We also acknowledge that since this is our first report, majority of the systems and processes that contribute to the quality of this report are still Work in progress. We expect to progressively improve the quality and standard of the report.

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Abbreviations

ARC	The Audit and Risk Committee
BAU	Business as Usual
CBK	Central Bank of Kenya
CIB	Corporate and Investment Banking
CMC	Country Management Committee
CO_2eq	Carbon Dioxide Equivalent
CRO	Chief Risk Officer
ERMF	Enterprise Risk Management Framework
ESMS	Environmental and Social Management System
ESRA	Environmental and Social Risk Assessment
GHG	Green House Gases
GoK	Government of Kenya
IFC	International Finance Corporation
COO	Chief Operating Officer
IPCC	Intergovernmental Panel on Climate Change
ITCZ	Inter Tropical Convergence Zone
KBA	Kenya Bankers Association
KPIs	Key Performance Indicators
KRAs	Key Risk Areas
mm	Millimetres
$MtCO_2eq$	Metric Tonnes Carbon Dioxide Equivalent
NDC	Nationally Determined Contribution
PRB	Principles for Responsible Banking
RBB	Retail and Business Banking
SMEs	Small and Medium Enterprises
SSP	Shared Socio-economic Pathways
SSR	Strategic, Sustainability and Reputational Risk
TCFD	Task Force on Climate-related Financial Disclosures

Foreword

Message from the Chairman – Charles Muchene

On behalf of the Absa Bank Kenya PLC Board of Directors, I am pleased to present to you our Climate-Related Financial Disclosures (TCFD) Report for the financial year 2022. This report highlights our progress in meeting the guidance on climate-related risk management issued by the Central Bank of Kenya (CBK) in October 2021.

Climate-related risk refers to the possible negative effects of climate change on an organization and its stakeholders. Climate change has the potential to have a negative impact on lives, livelihoods, health, economic, social, and cultural assets, and infrastructure. The damaging repercussions of climate change, such as floods, drought, heat waves, and recurring diseases are a present threat to industries and economies.

In view of this, as a responsible corporate, we have mapped out the impacts of our operations and our business activities on the environment, and are making incremental progress in mitigating against them, while at the same time advocating for sustainable business practices across our ecosystem.

Against this background, in 2020, we launched our sustainability strategy which identified 13 commitments as the foundation of our shared value agenda. As part of this agenda, and in recognition of the urgent need for global action to avert a climate disaster, we are refining our climate risk management strategy, including reducing our carbon footprint and pursuing green finance opportunities.

As a Board, we recognize our responsibility to duly consider climate-related risks when designing our organization's strategy and risk management frameworks, as well as conducting effective supervision on implementation. This will not only allow us to achieve global best practices but will also enable us to adhere to CBK principles.

We also appreciate the importance of an effective climate governance structure in dealing with climate-related risks and opportunities. As part of our commitment to this critical agenda, Absa has incorporated climate-related risks and opportunities into the Board governance and oversight priorities, through the existing Board Committees. This includes the Strategy Committee as well as the Audit & Risk Board Committees. These committees work in tandem with the Sustainability Steering Committee -a management level committee- which oversees the implementation of the Bank's sustainability strategy, focused on building the triple bottom-line of people, profit and planet.

In conclusion, Absa Kenya remains resolutely committed to inculcating sustainable business practices and creating shared value for all its stakeholders, communities and the environment.

Foreword

Message from the Managing Director – Abdi Mohamed

Human-caused environmental pressures have increased the likelihood of environmental degradation. Recognizing the risks posed by climate change, banks are emerging as shining lights in attempts to stem the tide and drive the transformation of businesses to a low-carbon, green economy through green financing. Banks and other financial organizations have thus become crucial cogs in the struggle against climate change due to their resource allocation skills.

Green finance has the potential to serve as the foundation for high-quality economic development in Kenya. It encourages businesses of all sizes to work harder to establish green credentials and develop creative methods to operate sustainably while reducing their carbon footprint and energy consumption. Long-term, these initiatives boost their bottom line, minimize business risk, and have the desired effect of decreasing the rate of global warming.

On our part, Absa has established a climate-change strategy to address how we manage climate risk and achieve emission reductions throughout our operations and portfolio. We promise to do so in an organized, measured, and transparent manner. As a result, we will use the Task Force on Climate-related Disclosures (TCFD) as a framework to shape Absa Bank Kenya's climate disclosures.

We believe that TCFD disclosures will not only help us comply with CBK, but will also enable our investors, insurers, financiers, and customers to make informed judgments about their interactions with us. We also believe that the disclosures will help Absa Bank Kenya employ high-quality and decision-useful information to develop, measure, and manage our climate adaptation and mitigation efforts utilizing the four fundamental pillars of the TCFD.

As part of our strategy, we have begun to align our portfolio to sector appetite on the basis of risk and attractiveness. We are collaborating with the International Finance Corporation (IFC) on our portfolio review, which will guide our climate finance strategy and provide an acceptable baseline to benchmark by the second quarter of 2023.

By 2025, we hope to have greened our portfolio by at least 10%. This suggests that our short term is 2023, our medium term is 2024, and our long term is after 2024. Under the IFC partnership, we are focusing on energy efficiency, renewable energy, and green building, as well as climate-smart agriculture in collaboration with Finance in Motion, to assist our clients in transitioning to a lower-carbon economy. Our goal is to reach net zero by 2040.

For our colleagues, we have made climate finance training and capacity building a required annual training session. Furthermore, we are actively aiding our customers to make the transition to a lower-carbon economy. As part of this, we held a climate finance training last year for our SMEs and corporate clients, with another one planned for this year.

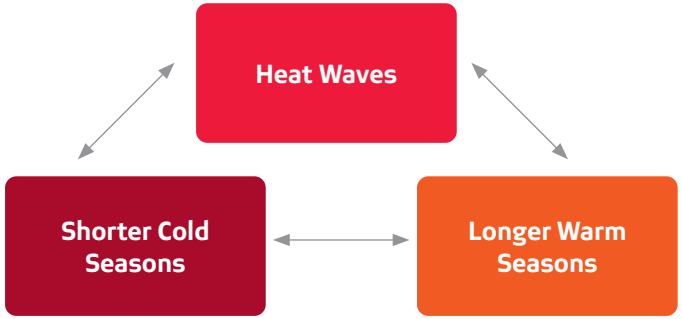
Overview

According to the latest Intergovernmental Panel on Climate Change (IPCC) Report, scientists have observed changes in the earth's climate across regions and across the entire climate system. The changes observed are unprecedented, having not been seen in thousands, if not hundreds of thousands, of years. As a result of these changes, sea level has continued to rise, which is irreversible.

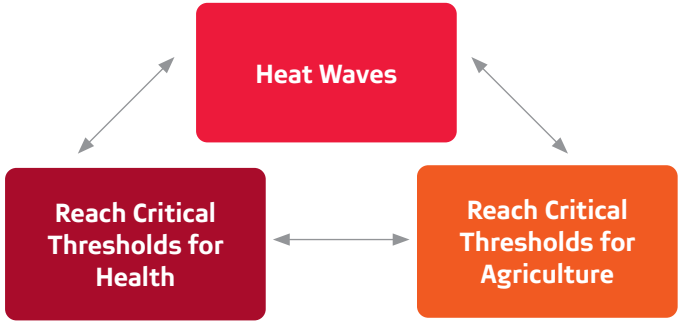
The IPCC report finds that human-caused greenhouse gas emissions are responsible for approximately 1.1°C of warming since 1850-1900, and that global temperature is expected to reach or exceed 1.5°C of warming over the next 20 years on average. This assessment is based on improved observational datasets and scientific progress in understanding of climate system adjustments related to human-caused greenhouse gas emissions.

In the coming decades, it is estimated that climate change will increase in all regions.

For 1.5°C of global warming, we can expect:

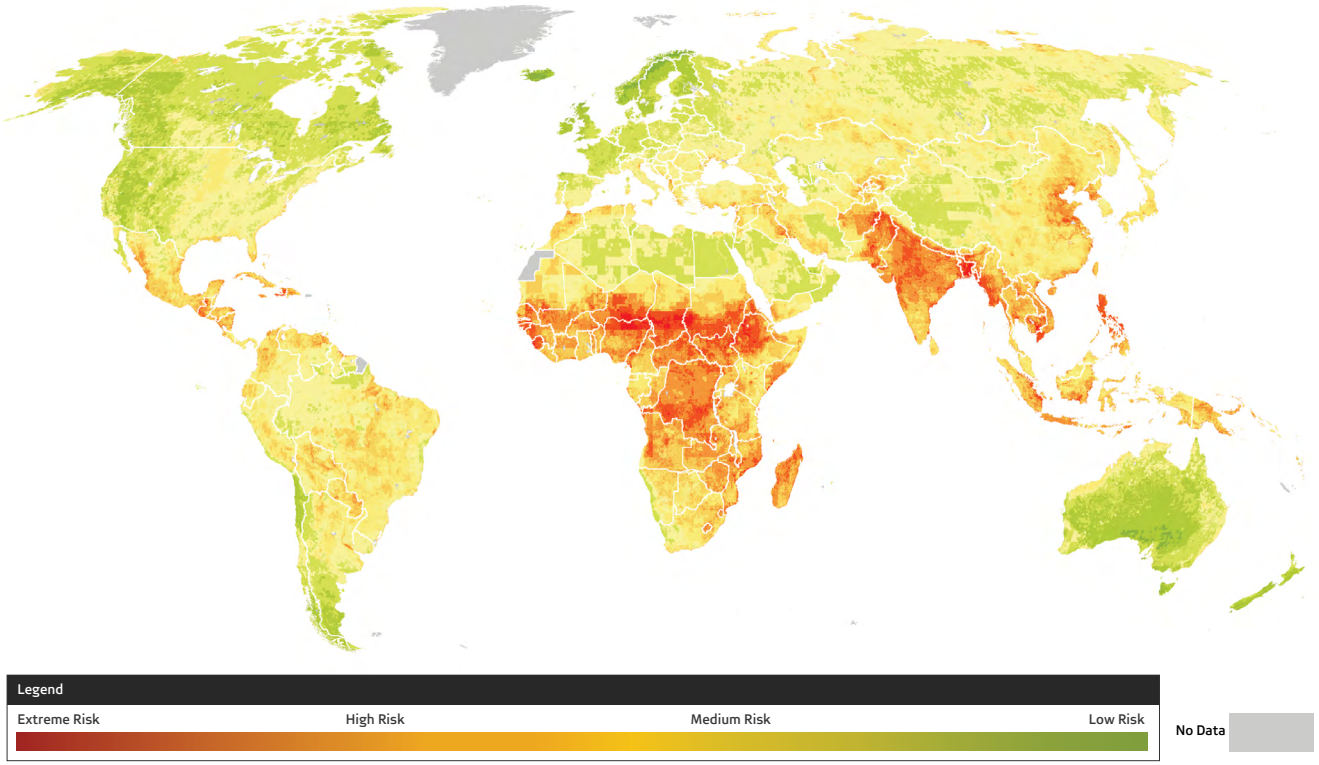


At 2°C of global warming, we can expect:



Africa's Perspective and Vulnerability

The African continent will be hardest hit by climate change.



There are four key reasons for this:

- African society is highly dependent on rainfall to grow their food, which if impacted will affect hundreds of millions of people.
- The African climate system is controlled by an extremely complex mix of large-scale weather systems, which are understudied, thus predictive models are less reliable when estimating impacts associated with climate change, meaning resilience plans are more complex to implement.
- The degree of expected climate change is large, with a decrease in rainfall expected to occur over Northern and Southern African Regions.
- The capacity for adaptation to climate change is low due to the levels of poverty, which require prioritisation with respect to the deployment of available resources.

Climate Change in Kenya

Kenya is facing incremental climate related risk driven by a thinning forest cover ,growing industrialisation,depleting natural resources, increased green house gas emissions, and consequently requires concerted mitigation efforts from both the private and public sector.

Contribution to greenhouse gas emissions

In 2019, Kenya emitted 73.4 million tonnes of CO_2 equivalent (CO_2eq) representing 0.15% of global emissions (Figure 1). Kenya has submitted an updated Nationally Determined Contribution (NDC) in 2020 as per the requirements of the Paris Agreement of 2015, which aims to limit global temperature rise to well below 2°C. Kenya has committed to reducing GHG emissions by 32% by 2030 relative to a Business as Usual (BAU) scenario of 143 MtCO_2eq.

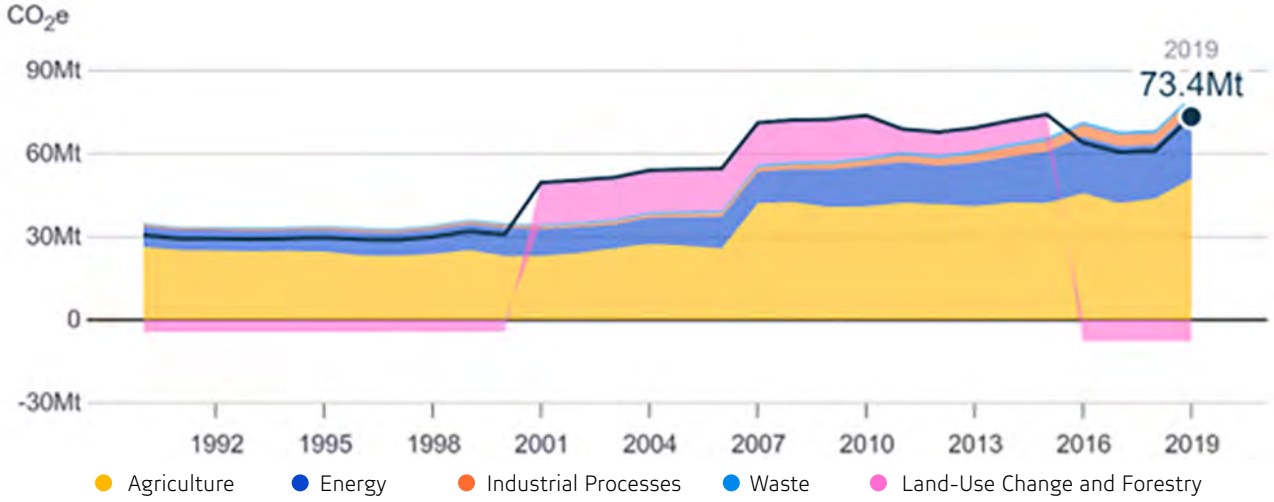


Figure 1: Historical GHG emissions Kenya: Source Climate Watch

Kenya has developed the following to assist in realising these objectives:

- National Climate Change Response Strategy 2010
- National Climate Change Action Plan 2013
- National Adaptation Plan 2015
- National Climate Change Framework Policy
- Climate Change Act 2016

The National Climate Response strategy and plans lay out a vision for a low-carbon, climate-resilient development path, whereas the policy and Act aim to make it easier to respond to climate change. Plans, programs, and projects have also been developed for specific sectors.

Kenyan macro scale climate modelling

The climate of Kenya is varied and influenced by the variations in elevation of the country. Seasonal climatic changes are controlled by the large-scale pressure systems of the western Indian Ocean as well as adjacent landmasses. While the coast is typically hot and humid, inland areas are more temperate.

The country's northern and northeastern areas are generally very hot and arid, with the central highlands being cooler and are formed of a mix of tropical highlands, which become increasingly arid towards the country's interior.

Given Kenya's diverse topography, temperatures across the country vary significantly, with the highlands experiencing much cooler temperatures than coastal and lowland zones[1]. Seasonal variation in temperatures has been observed, with average temperatures ranging between 18°C at the higher elevations to 26°C along the coast.

Rainfall varies considerably across the country, with less than 250 millimetres (mm) falling in the arid zones in the north, to over 2,000 mm per year in the west annually. Highland areas, where the majority of agriculture takes place, receive approximately 1,000 mm of rainfall each year[2].

The seasonal migration of the Inter Tropical Convergence Zone (ITCZ) defines four distinct seasons in Kenya, dominated by two rainfall periods: January to March, which is generally considered the 'warm dry season', April to June known as the 'long wet season', July to September the 'cool dry season', and October to December as the 'short wet season'.

The main contributors to GHG emissions in Kenya are the agricultural sector at 40%, and land use, land use change and forestry at 38%. Deforestation, energy and transport constitute an additional 18%[3].

At Absa we are cognisant of the climate related risks that we face as a country and are committed to playing our rightful role in addressing these risks, as well as the opportunities, by not only adopting but also advocating for sustainable business practices.

[1]Republic of Kenya (2013). National Climate Change Action Plan, 2013–2017: Vision 2030. URL: https://cdkn.org/wp-content/ uploads/2013/03/Kenya-National-Climate-Change-Action-Plan.pdf
[2]WBG Climate Change Knowledge Portal (CCKP, 2020). Kenya URL https://climateknowledgeportal.worldbank.org/country/kenya
[3]Ministry of Environment and Natural Resources (2016). Kenya National Adaptation Plan, 2015–2030. URL: https://www4.unfccc. int/sites/NAPC/Documents%20NAP/Kenya_NAP_Final.pdf

Key observed trends

Whilst Kenya has a varied climate, with varied average temperatures across these climatic regions, there has been a distinct warming trend since the 1960s (Figure 2). It has been noted that inland areas have registered larger increases in minimum and maximum temperatures[4]. During this time, the annual mean increase has risen by approximately 1.0°C, at an estimated average rate of 0.21°C per decade. The most significant rise in temperature was observed for the start of the primary rainy and humid, spring season (March to May), in the arid and semi-arid regions of the country[5]. As with temperature, precipitation trends for Kenya are highly variable, primarily due to the significant geographical diversity of Kenya. However, key trends identified over the past 60 years show that the northern areas have become wetter, and southern areas have become drier since the 1960s. It has been noted that extreme rainfall events are occurring with greater frequency and intensity and increased aridity and droughts have also been observed, with moderate drought events recorded on average every three to four years and major droughts every 10 years. Since the year 2000, prolonged droughts have become more common[6].

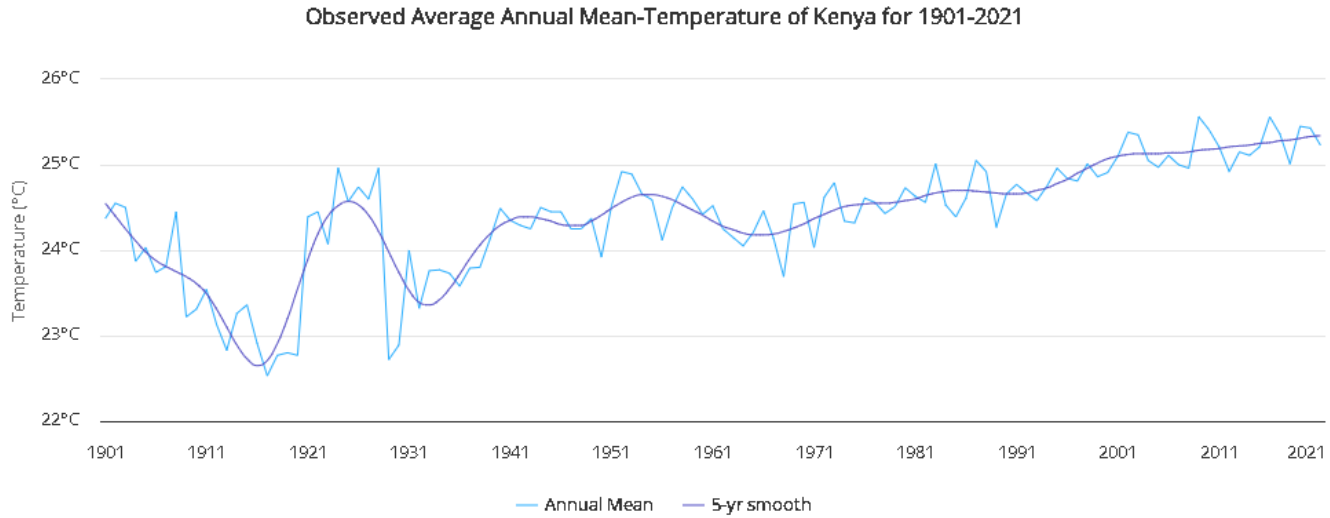


Figure 2: Mean average temperature profile Kenya 1901 - 2021

[4]WBG Climate Change Knowledge Portal (CCKP, 2020). Kenya URL https://climateknowledgeportal.worldbank.org/country/kenya/climate-data-historical
[5]USAID (2018). Climate Change Risk Profile – Kenya. URL: https://www.climatelinks.org/sites/default/files/asset/document/2018_ USAID-ATLAS-Project_Climate-Risk-Profile-Kenya.pdf
[6]National Environment Management Authority (2015). Kenya- Second National Communication to the United National Framework Convention on Climate Change. URL: https://unfccc.int/sites/default/files/resource/Kennc2.pdf
[7]Ministry of Environment and Natural Resources (2016). Kenya National Adaptation Plan, 2015–2030. URL: https://www4.unfccc. int/sites/NAPC/Documents%20NAP/Kenya_NAP_Final.pdf
[8]Ministry of Environment and Natural Resources (2016). Kenya National Adaptation Plan, 2015–2030. URL: https://www4.unfccc. int/sites/NAPC/Documents%20NAP/Kenya_NAP_Final.pdf
[9]WBG Climate Change Knowledge Portal (CCKP, 2020). Kenya URL https://climateknowledgeportal.worldbank.org/country/kenya/climate-data-projections

Key projected trends

It is predicted that temperatures in Kenya will continue to rise by 1.7°C by the 2050s and by approximately 3.5°C at the end of the century[7]. The number of hot days and hot nights is projected to increase, with 'hot days' projected to occur on 19%–45% of days by mid-century. Hot nights are expected to increase more quickly and are projected to occur on 45%–75% of nights by mid-century and on 64%–93% of nights by the end of the century. Cold days and nights are expected to become increasingly rare[8]. Across all emissions scenarios, barring SSP1 (limit warming below 1.5°C by 2100), temperatures in Kenya will continue to rise[9]. Figure 3 below shows that under a high emission scenario (SSP5), average temperatures are expected to increase rapidly by mid-century. Increased heat and extreme heat conditions will result in significant implications for human and animal health, agriculture, and ecosystems.

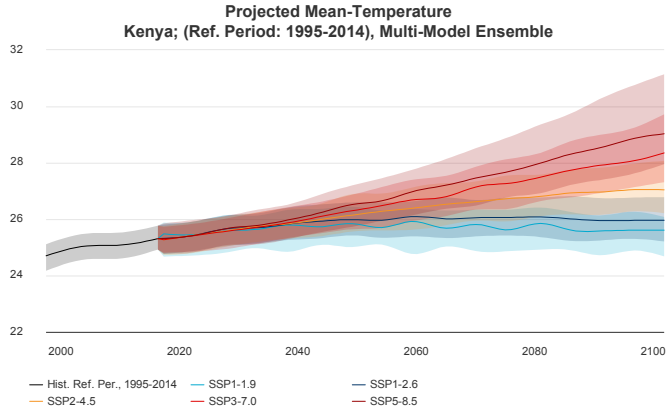


Figure 3: Historical and projected average temperature for Kenya from 1995 to 2099.

Precipitation in Kenya is projected to remain highly variable and uncertain, however average rainfall is expected to increase by mid-century, particularly during the 'short rains', which occur between October and December. Extreme rainfall events are also expected to increase in frequency, duration and intensity and the proportion of heavy rainfall that occurs in heavy events will increase. However, the period between heavy rainfall events may increase. Importantly, rainfall in the arid zones is generally projected to decrease.

Absa's response to climate-related financial risks in Kenya

In terms of managing climate change risks, there are two interrelated components. Firstly, the proactive incorporation of climate change risk into the businesses. Secondly, the development of a strategy to achieve net zero emission targets by 2040.

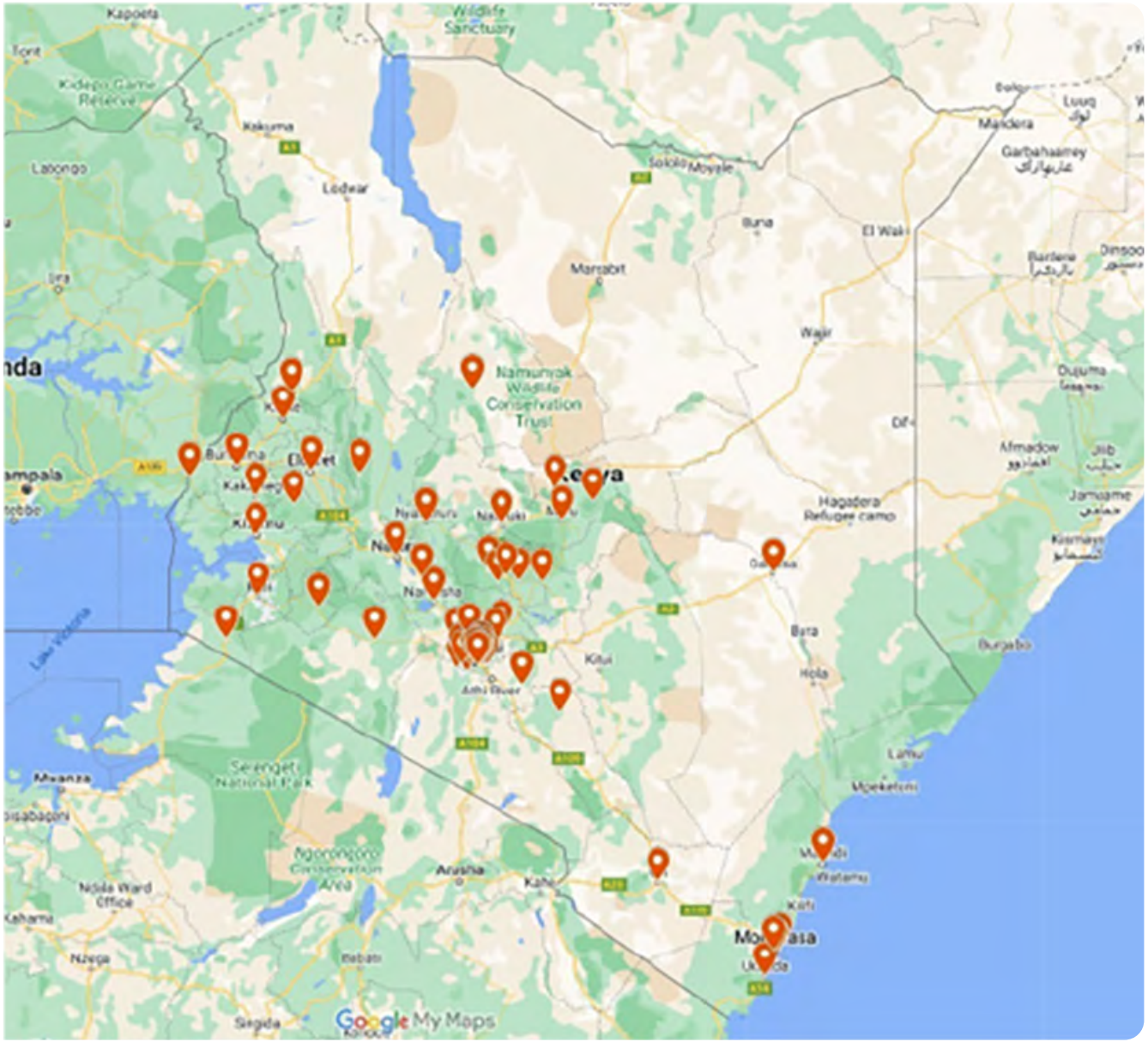
Assessment of climate-related risks

For starters, we elevated sustainability (including climate change) to a principal risk in our Absa Bank Kenya PLC approved and localized Enterprise Risk Management Framework (ERMF) and outlined it in our Strategic Sustainability and Reputational Risk Framework (SSRF) in 2022. We also rolled out an environmental and social management system (ESMS) to identify and manage our exposure to environmental and social risks at the on-boarding and screening stage. We monitor our exposure to climate-sensitive and high-emission sectors quarterly. In 2023, we initiated a deep dive into the assessment of our physical risks and the degree to which our portfolio is at risk.

Physical risks

Absa Bank Kenya operates 83 branches across Kenya, with the majority of these located in the South-Western quadrant of the country. Physical climate change risks vary throughout the country including, temperature increases, flooding, drought, and resultant energy insecurity.

At Absa, we are aware of these eminent physical risks and are commencing building up scenarios and stress testing which will inform our business continuity strategies and plans to counter these risks. We believe these will ensure not only seamless operations but also mange these physical risk.



Branches are grouped into four distinct geographical and climatological regions:

Region	Physical climate risk	Impact on Absa
Coastal region **10 branches**	• Sea level risk • Increased temperatures • Flooding	• Disruption in telecommunications hampering mobile connectivity to services • Increase in electricity use • Increase in use of air conditioning units and GHG emissions • Damage to property and disruption of services • Loss of infrastructure and disruption of services
Northern, Eastern, and Southern arid regions **20 branches**	• Increased temperature • Droughts • Famine	• Increase in electricity use • Increase in use of air conditioning units and GHG emissions • Increase in fuel generators usage and GHG emission
Central temperate regions **43 branches**	• Drought • Increased temperature • Flooding • Spread of tropical diseases • Wildfires	• Disruption in telecommunications hampering mobile connectivity to services • Increase in electricity use • Increase in use of air conditioning units and GHG emissions • Damage to property and disruption of services • Loss of infrastructure and disruption of services
Western tropical regions **10 branches**	• Expansion of tropical pests and diseases • Loss of biodiversity • Temperature increases • Flooding	• Disruption in telecommunications hampering mobile connectivity to services • Increase in electricity use • Increase in use of air conditioning units and GHG emissions • Damage to property and disruption of services • Loss of infrastructure and disruption of services

Our climate change journey

The CBK released the Guidance on Climate-Related Risk Management in October 2021. The guideline required banks to submit an implementation plan approved by the Board of Directors by June 2022. Absa met the deadline, and the implementation is still in progress. Absa also provides quarterly updates to CBK on its implementation. The Task Force on Climate-related Financial Disclosures (TFCD) framework will require mandatory climate risk reporting beginning in 2023.

CBK guidance roadmap

October 2021
Sensitisation of bank CEOs and Managing Directors

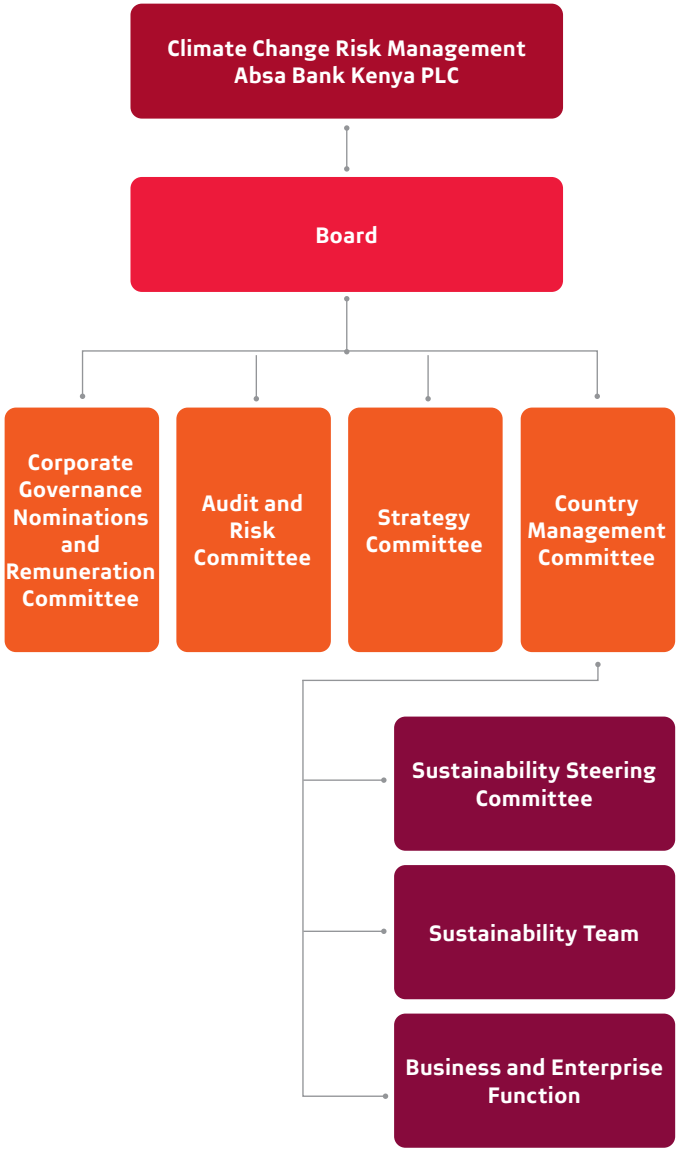
January 2022 – March 2022
Sensitisation of bank staff on climate risk management

June 2022
Submission of implementation plan approved by the Board and signed by the Chairman and CEO of the institution

September 2022
Quarterly updates on the Board approved implementation plans

January 2023 – June 2023
Disclosures of climate-related information benchmarked to TCFD framework to enhance transparency

Governance



Board oversight

The Board is our highest decision-making body for matters of significant importance to Absa Bank Kenya PLC due to their strategic, financial or reputational implications or consequences. The Board is responsible for overseeing our risk management frameworks and practices, including climate-related risks. In 2022, Absa Bank Kenya achieved the following governance milestones:

- Absa Bank Kenya incorporated climate-related risks and opportunities related to governance and oversight into the existing Board Committees. This includes the Board Strategy Committee and the Board Audit and Risk Committee. This was approved and signed by the approved by the Board.
- A Terms of Reference for the Board Strategy Committee, Audit and Risk Committee were updated to include climate-related risks and opportunities.
- We conducted Board sensitisation and awareness on climate risk and integration into the Bank's strategy.
- We have incorporated oversight of sustainability and climate-related matters at the Board level for the purposes of climate risk and opportunity strategy implementation and progress.
- We complied and submitted a Board approved plan to CBK in June 2022 which detailed Absa Kenya's will identify, measure, monitor, report, control and mitigate climate-related risks and opportunities.

In 2020, the Board reviewed and approved our sustainability commitments. A key commitment for Absa Bank Kenya is reaching net zero carbon emissions by 2040. The Board ratified a commitment to green our loan portfolio by at least 10% by 2025 as an interim target, focusing on renewable energy, efficiency, green buildings and climate-smart agriculture. Since 2020, the Board receives regular quarterly updates from the Sustainability Steering Committee whose membership includes the Chief Risk Office (CRO).

The Board will continue to exercise appropriate oversight and governance of climate scenario analysis and the challenges of climate stress testing as per the Central Bank of Kenya climate-related risk management guidance 2021.

The Board will prioritize results from climate scenario analysis and stress tests to enhance its oversight of the impact of Climate Risk on Absa's portfolio, financial performance and operations and strengthen business strategy and financial planning by 2024.

Management team

We have incorporated oversight of sustainability and climate-related matters in our Board and Management Committees. This includes Strategy Committee, Audit and Risk Committee and Sustainability Steering Committee.

The CRO has senior management responsibility for climate risk and is supported by all other CMC members of the Sustainability Steering Committee. The CRO is also supported by the Environment and Social Officer (ESO) and Head of Operational Risk who oversee day-to-day management of climate-related financial and non-financial risks. In addition to the CRO, the Chief Operations Officer (COO) has the sole mandate of executing net zero carbon emissions by 2040 with the help of the Head of Sourcing and Commercial Services.

The Absa Bank Kenya senior management is responsible for greening our portfolio by at least 10% by 2025 with assistance from our climate finance-working group drawn from Corporate and Investment Banking (CIB) and Retail and Business Banking (RBB) teams as well as our Agribusiness and Sustainability functions. The Sustainability department was established in 2019 and is spearheaded by the Head of Sustainability, Communications and Corporate Relations. The Department is responsible for day-to-day governance and disclosures of climate risks and opportunities.

We aim to streamline all business units across the Bank on climate risk governance and reporting. This will include the deployment and use of climate risk assessment and reporting tools to keep the Country Management Committee (CMC) updated through the CRO information report to the Audit and Risk Committee (ARC) and Sustainability Steering Committee on a quarterly basis.

The other commitment is to incorporate climate risk as part of the risk culture programmes and assurance activities for the third line of defence by the end of 2023. We are also in the process of developing Board and CMC KPIs and KRAs of climate action and escalation matrix of climate-related risk and opportunities before the end of 2023.

We will also continue to exercise appropriate oversight, governance and reporting progress of our journey to net zero by 2040 at both the Board and Country Management Committee levels.

Strategy

Climate-related risks and opportunities identified over the short, medium, and long term

We are in the process of mapping out climate risks and assessing our current exposure as a bank. This includes detailing and outlining climate risk parameters using the sectoral approach and classifying assets in our portfolio into high-risk, medium-risk, and low-risk.

Part of this mapping exercise comprises developing key climate risk indicators and identifying measures to limit the bank's exposure to these risks. In addition to the mapping exercise, we are also establishing a baseline of our current risks and potential opportunities, which will be used for target setting and monitoring.

In collaboration with IFC, we are conducting a portfolio review that will inform our climate finance strategy as well as provide a suitable baseline for benchmarking. Our goal is to green our portfolio by at least 10% by 2025.

In 2022, we identified an opportunity for climate finance focusing on energy efficiency, renewable energy and climate-smart agriculture. In line with these opportunities, we continue to work on risk mapping and reviewing sectoral studies to determine how best to incorporate these sectors in our service offerings.

Absa Bank Kenya is committed to aligning its portfolio to sector appetite based on risk and attractiveness by December 2023. Absa Group has set a net-zero carbon emission target for 2050 in order to mitigate climate change.

On our part, Absa Bank Kenya has set an in-country goal of achieving net zero emissions by 2040 We also intend to link our climate-related opportunities with our net zero-financed emissions approach through the following future-focused approaches:

We aim to assess the impact of climate risk on our loan portfolio under these four transition scenarios by 2025.

Greening our portfolio by at least 10% by 2025 focusing on renewable energy, efficiency, green buildings and climate-smart agriculture.

Mobilise at least Shs 25 billion in Green and Transition Finance through internal and external funding with our partners.

Reduce emissions intensity in high carbon sectors by 2040.

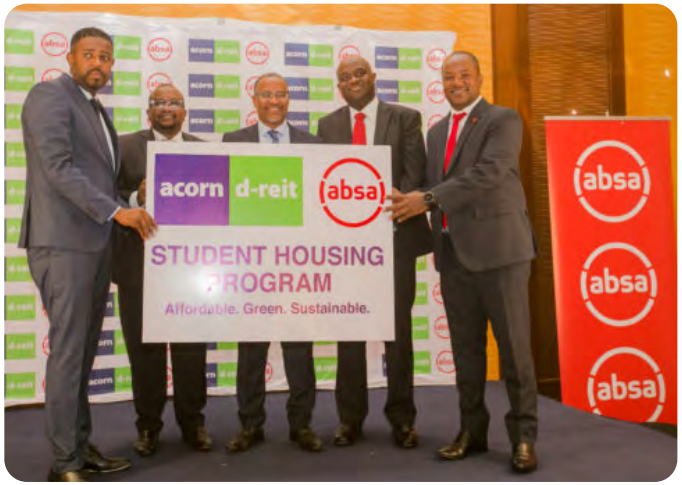
We aim to use quantitative and bottom-up tools and methodologies to assess transitional and physical climate risks and apply these to our clients, portfolios, and our own operations.

Impact of climate risks and opportunities on business, strategy and planning

As part of our commitment to achieving net zero and responding to climate change, Absa Bank Kenya has embedded climate risk and opportunities in the Bank's strategy. This provides us with a clear direction with regard to risk-taking, risk mitigation and risk avoidance regarding climate risk.

In addition to updating our strategy, the impacts of assessing climate risks and opportunities on the business, strategy and planning include:

- Implementing the Principles for Responsible Banking (PRB), which we anticipate will be concluded by December 2023. Our target is to start reporting on the PRBs in 2024.
- Revising climate products development framework with a clear outline of climate-related risk management throughout the product development life cycle.
- Establishing a sustainable finance and climate exposure baseline.
- Developing KPIs on sustainable finance with specific timelines.
- Actively assisting customers to transition to a lower-carbon economy.
- In addition to a partnership with the IFC, Absa Bank Kenya, through the Group, has revised the Sustainability risk policy and Environmental and Social Management Systems (ESMS) standards to incorporate climate-related risk management in the product development life cycle.



Green Building spotlight

We have collaborated with Acorn Holdings Limited (AHL) to support green buildings in Kenya through a Shs 6.7 billion financing agreement. This funding will support the development of a further 10 purpose-built student accommodation (PBSA) developments in Nairobi.

This will add another 12,000 beds to the Acorn Student Accommodation Real Estate Investment Trusts (REITs) to bring the total bed portfolio to 21,000 beds – the largest such portfolio in Africa. Acorn will be developing the student accommodation housing units over the next three years, in a move that contributes to the Kenyan Government's affordable housing goals by addressing the current student-housing deficit estimated at 300,000 beds across the country.

The new facility will also contribute both social and environmental positive outcomes as the properties being developed will be green buildings certified under International Finance Corporation (IFC) EDGE, the internationally recognized green building certification system

Climate-related Scenario Analysis

At Absa Bank Kenya, we are focusing on developing climate change scenarios for our loan book as well as establishing specific targets for decarbonizing our operations. As part of the scenario planning, we are also conducting an assessment to determine the Bank's Scope 1 and 2 carbon emissions.

To assist with developing climate change scenarios for our loan book, the Bank, in collaboration with the IFC, provided eligibility training to over 200 critical staff and is in the process of identifying climate change scenarios for the loan book. Absa Bank Kenya's Chief Risk Officer is in charge of this project, which is expected to be completed by December 2023.

Looking forward, we are committed to developing management scenarios that will strengthen the considerations of climate risk in our green finance corporate plan and net-zero strategy by the end of 2023. The management scenarios will take into account the current and projected state of Kenya with regard to climate change as well as the Absa Bank Kenya operations and loan book. In addition to the management scenarios, the following will also be completed:

- An assessment of Absa Bank Kenya Scope 3 emissions will be conducted by January 2024. Currently, various tools and approaches are being identified and reviewed for selection.
- A climate opportunity mapping framework will be developed together with our partners.
- We will review and develop enablers for climate risk and opportunity management within Absa Bank Kenya.

Risk management

Absa has an Enterprise Risk Management Framework (ERMF), owned by the CRO and approved by the Board, which governs the way in which it identifies and manages its risks. The Strategic, Sustainability and Reputational (SSR) Risk is identified within the ERMF as a Principal Risk. The CRO has been delegated the authority to manage the risk profile for Absa subject to the Board-approved risk appetite.

To further expound on its management, we have a Sustainability Risk policy and Sustainability standard- ESMS (Environment and Social management standard).

As climate-related risks exist predominantly in our lending activities, we measure and monitor our exposure to climate-sensitive industries. Where these exposures are material, we aim to manage the risk over the short and medium term, including using stress testing and scenario planning. We disclose our exposure to these sectors under metrics and targets (pg).

Board-appointed committees have delegated authority to provide oversight over Strategic, Sustainability and Reputational Risks, including the review and challenge of the risk profile:

Absa Bank Kenya Plc Board: is responsible for the overarching Strategic, Sustainability and Reputational risk profile management and approves the Strategic, Sustainability and Reputational Risk Framework (SSRF).

The Board Strategy Committee: Provides oversight on strategy setting and associated review processes critical in the management of strategic, sustainability and reputational risks.

The Board Audit & Risk Committee (BARC): Provides oversight on financial and Non-financial regulatory reporting in the management of strategic, sustainability and reputational risk.

Identifying and assessing climate-related risks

Absa identifies and assesses risks and opportunities arising from internal and external environments and pro-actively identifies emerging risks. The risk management process follows a three-step approach, namely evaluate, respond and monitor (the E-R-M process). This enables management to identify and assess risks, determine the appropriate risk response, and then monitor the effectiveness of the risk response and any changes to the risk profile.

Evaluate

Individuals, teams and departments, including those responsible for delivering the objective under review, identify and assess potential risks.

Respond

The appropriate risk responses ensure that the risks are managed within the risk appetite. These include: risk mitigation, risk transfer and ceasing certain activities.

Monitor

Ensure that risk profiles remain within agreed appetite levels, verify that controls are working as intended and challenge or promote re-evaluation of the risks.

Absa Bank Kenya is continuously identifies climate-related risks at a portfolio and transactional level using the ESRA tool within agreed thresholds (which are amended from time to time). We have an existing automated Environmental and Social Management System (ESMS) that is currently being used to screen Environmental & Social (E&S) risks.

In addition to this, we are commensing the process of climate risk stress testing and scenario analysis in line with our Sustainability policy, standards and frameworks.

We are commencing an assessment to determine whether our facilities, operations and major outsourced arrangements may be prone to physical, transition or liability risks as a result of climate change effects and to assess resilience as part of the business contingency planning.

Managing climate-related risks

To assist with managing our climate-related risks, we have revised our current ESRA tool to include the potential climate risk exposure of loans based on industry best practices and enhanced the automation of the ESRA that is already in use. We have also embedded climate risk exposure metrics into the ESRA tool.

Absa Bank Kenya is currently implementing the Group Sustainability Risk Framework, which includes the management of climate risks. Sustainability has been elevated to a principal risk and amalgamated with strategy and reputation. These three aspects have been incorporated to form the Strategic, Sustainability and Reputational Risk Framework (SSRF). Implementation is ongoing.

Going forward, Absa Bank Kenya is committed to updating and concluding the Business continuity plans to include an assessment of climate risks.

We are also embarking on a process to develop continuous portfolio climate risk exposure assessment methodology and tools. Absa has automated its ESMS tool for screening customer loans that includes climate risk exposure assessment.

Integrating into the organisation's overall risk management

At Absa Bank Kenya, we are working to revise and update our current exclusion and sector exposure lists to include climate risk potential sectors. The Absa Group issued new guidelines which Absa Bank Kenya will need to adopt in the revised Sustainability Risk policy and ESMS. Absa Bank Kenya will make further enhancements to the Sustainability Risk Policy and ESMS once the IFC sectoral studies assessments are concluded.

Absa Bank Kenya has also coordinated a team that is tasked with reporting on the development of various physical and transition risks facing the Bank as part of our compliance. Climate risk champions were nominated in 2022 and receive quarterly training to support their business functions and reporting.

Looking forward, Absa Bank Kenya, based on the IFC climate strategy recommendations, will embed transitional risks into the Bank's policy. The changes will be derived from both local and international best practices and applicable relevant policies. We are also in the process of enhancing our current risk management culture to include climate risk.

Metrics and targets

Metrics used to assess and manage climate-related risk and opportunities in line with strategy and risk management processes

At Absa Bank Kenya, we have defined the structure for disclosing material climate-related risks, opportunities and strategic decisions to all stakeholders including investors and regulators as per defined standards and frequency.

Externally, we will report on our progress and against targets in the annual TCFD report and internally, we shall report quarterly to the Absa Bank Kenya Sustainability Steering Committee.

Going forward, we are committed to annually disclosing climate-related data against our 2040 net-zero carbon emissions targets as well as our progress against our green financing targets. We will also disclose Scope 1, Scope 2 and, if appropriate, Scope 3 Greenhouse Gas Emissions and Related Risks.

Targets used by the organisation to manage climate-related risks and opportunities and performance against targets

We are committed to, and are currently revising our Sustainability, Environmental and Social related documents, policies and frameworks to ensure climate action and risk management are embedded in our guiding documents. We are also in the process of establishing targets, which include the ongoing portfolio review that the IFC is assisting Absa Bank Kenya with.

Although we have identified one target of greening our portfolio by at least 10% by 2025, we will set additional climate-related KPIs and KRAs following the completion of the IFC workstream and necessary internal policy and procedural updates. This process is ongoing, and we aim to complete this by the end of 2024.

Portfolio analysis of climate-sensitive sectors

The sectors below are those we believe have elevated climate-related risks, as discussed earlier, although a range of vulnerabilities exists within each sector.

Our monitoring and reporting of drawn exposures to sectors with elevated climate risk will improve and become more granular as our approach to climate change risk management evolves, aligning further with TCFD recommendations.

The tables below outline our actual gross loans and advances as at 31 December 2022.

High emission sectors

We purpose to monitor our exposure to sectors with generally high emissions and report progress on an annual basis. These sectors represent 25% of our total loans, with manufacturing the largest at 20.7%

Sector	2022 Gross Loan Shs (Bn)	Percent of Total %
Manufacturing	64.10	20.7
Transport and logistics	8.69	2.8
Electricity, gas and water supply	5.42	1.8
Mining and quarrying	0.68	0.2

Climate sensitive sectors

In aggregate, climate-sensitive sectors, as identified by the United Nations Environment Programme, constitute 34% of our total gross loans and advances. However, excluding our sizeable real estate book, which is primarily retail home loans, climate-sensitive sectors were 29.6% of our total loans, with our well-diversified agriculture and manufacturing portfolios the largest components at 3.9% and 20.7% respectively.

Sector	2022 Gross Loan Shs (Bn)	Percent of Total %
Manufacturing	64.10	20.7
Real Estate, Renting and Business Activities	13.91	4.5
Agriculture	12.18	3.9
Transport and logistics	8.69	2.8
Electricity, gas and water supply	5.42	1.8
Construction	1.55	0.5
Mining and quarrying	0.68	0.2

We purpose to include renewable energy, efficiency, green building and climate smart agriculture in our future portfolio reporting. We understand that these are key components in our mission to in our mission to transition customers to lower carbon economy.

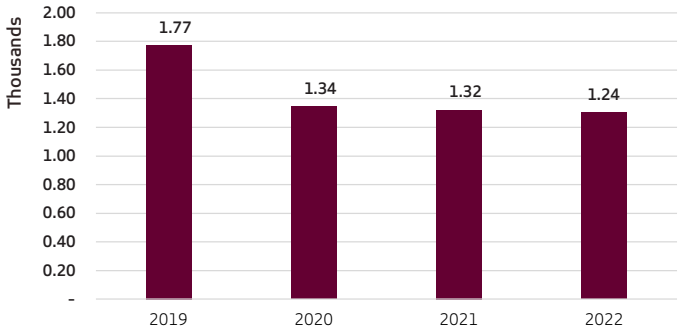
Our carbon footprint

Absa aims to contribute by making a Net-Zero commitment by 2040, reducing its carbon footprint as a business, and developing innovative climate finance products to assist our clients on their transition journey. As part of this, we have begun the process of reducing our premises' carbon footprint and pursuing green certification, thereby improving resource efficiency.

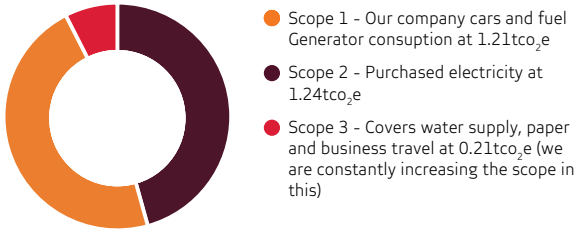
Absa Bank Kenya has been tracking its carbon footprint for the past four years. Year on year, the bank's total CO_2 equivalent emissions have decreased. Initial interventions and process optimizations resulted in a 26% reduction in emissions from 2019 to 2020. Between 2020 and 2022, an additional 3% reduction was achieved. Scope 2 emissions (direct electricity consumption) represent the majority contributor to this total.

- Scope 1 covers direct emissions from owned or controlled sources. Our company cars and fuel Generator consuption 1.21tco$_2$e for 2022
- Scope 2 covers indirect emissions from the generation of purchased 1.24Tco$_2$e.
- Scope 3 includes all other indirect emissions that occur in a company's value chain. Covers water supply, paper and business travel at 0.21tco$_2$e (we are constantly increasing the scope in this)

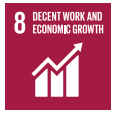
Absa Bank Kenya total tones CO_2 - equivalent releases year on year



Tones CO_2-equivalent 2022 broken down by type



Mitigating climate risk in society



Achieve higher levels of economic productivity through diversification, technological upgrading and innovation.

Promote restoration of degraded forests and increase afforestation and reforestation in the country.

Mobilise resources to finance sustainable forestry management.

Absa Bank Kenya PLC strives to be a force for good by making a difference in its communities, which benefits both people and the planet through curbing climate change and reducing our environmental footprint. This commitment drives our growth as a business, ensures profitable returns to our shareholders and continued growth and development of our staff. Absa pledges to work with our colleagues, customers and all other stakeholders to drive sustainability and reduce climate risk while ensuring that the value chains are adhering to sustainable business practices. As such, playing a shaping role in society is one of the key guiding principles for our new purpose and strategy.

As part of our environmental conservation efforts, anchored on our sustainability agenda, we have committed to grow at least 10 million trees by the end of 2025. This commitment features variuos biodiversity restoration initiatives in both terrestrial and mangroves ecosystems, working in partnerships with the Kenya Forest Service, community base orgs and CFAs.

This commitment also supports govt initiative to grow 15 billion trees by 2032. In 2022, we planted 303,664 trees.

We have also committed to reducing our impact on the environment through lowering our resource use including water and energy and partnering with leading initiatives such as the UN Global Compact, the Sustainable Finance Initiative and the Women's Empowerment Principles.

In our Net-Zero commitment, we continue to work to not only reduce our carbon footprint as a business but also develop innovative climate finance products to support our clients on their transition journey.

Capacity building

In September 2022, we conducted staff sensitization on climate risk concepts and guidance expectations to promote and support internal capacity building. Additional training has been provided by the Kenya Bankers Association (KBA) Sustainable Finance Initiative curriculum. Absa Bank Kenya has also provided critical staff with climate finance training, the Bank's E&S risk assessment tool, and ongoing policy integration with climate change. We have also ensured that our employees have access to climate-related e-learning modules via the KBA, and we are in the process of developing internal e-learning modules for all of our employees.

Absa Bank Kenya has identified champions from critical departments who are now part of climate risk and sustainable finance working groups and have been trained on climate-related matters to ensure capacity building is targeted and relevant to critical departments.

In order to assist our customers, in October 2022, we held a customer education and awareness training session on climate risks and opportunities. Customer education and awareness will be conducted continuously.

Externally, we have collaborated with the IFC and brought on board several ESG experts.

Conclusion

Our commitment is to be an active force for good in everything that we do, which includes Sustainability and climate change mitigation and adaptation.

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Absa Bank of Kenya is regulated by the Central Bank of Kenya